

AYNE ACADEMY
EXIT EXAM MODEL QUESTIONS
(THEME THREE AND FIVE) FOR MANAGEMENT STUDENTS

THEME 3

1.Strategic Management

2.Project Management

THEME 5

1. Operations Management

2. Financial Management

Strategic Management

1. An important first step in the process of formulating a company's mission is to answer the question:
 - A. What is our budget for advertising?
 - B. What are the government regulations that are most likely to impact our business?
 - C. What is our business?
 - D. How do we persuade shareholders to provide risk capital?
 - E. How many employees should we hire?
2. The threat of new entrants is high when there are:
 - A. High capital requirements
 - B. Low economies of scale
 - C. High switching costs
 - D. High differentiation among competitor's products and services
 - E. None of the above
3. If the industry is mature & there is slow growth, the appropriate strategy for a strong company is:
 - A. Filing bankruptcy
 - B. Decline strategy
 - C. Stability strategy
 - D. Turnaround strategy
 - E. None of the above
4. Strategy formulation refers to the:
 - A. Task of executing corporate- and business-level plans
 - B. Process by which strategies are put into action
 - C. Design of organizational structures and control systems

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- D. Implementation of emergent strategies
- E. Analyzing an organization's external and internal environment and then the process of selecting an appropriate strategy
5. A company's strategic vision concerns
- A. A company's directional path and future product-customer-market-technology focus.
- B. Why the company does certain things in trying to please its customers?
- C. Management's storyline of how it intends to make a profit with the chosen strategy.
- D. "Who we are and what we do."
- E. What future actions the enterprise will likely undertake to outmaneuver rivals and achieve a sustainable competitive advantage?
6. A company's mission statement typically addresses which of the following questions?
- A. Who we are? What do we do? And why we are here?
- B. What objectives and level of performance do we want to achieve?
- C. Where are we going and what should our strategy be?
- D. What approach should we take to achieve sustainable competitive advantage?
- E. What business model should we employ to achieve our objectives and our vision?
7. Which one of the following is not part of a company's broad macro-environment?
- A. Conditions in the economy at large.
- B. Population demographics and societal values and lifestyles.
- C. Technological and ecological factors.
- D. Governmental regulations and legislation.
- E. The company's resource strengths, resource weaknesses, and competitive capabilities.
8. Which of the following conditions acts to *weaken* buyer bargaining power?
- A. When buyers are unlikely to integrate backward into the business of sellers
- B. When buyers are well informed about sellers' products, prices, and costs
- C. When the costs incurred by buyers in switching to competing brands or to substitute products are relatively low
- D. When buyers can postpone purchases if they don't like the prices offered by sellers
- E. When buyers are few in number and/or often purchase in large quantities
9. A resource-based strategy

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- A. Is often based on cross-department combinations of intellectual capital and expertise.
 - B. Uses a company's valuable and rare resources and competitive capabilities to deliver value to customers those rivals have difficulty matching.
 - C. Is typically based on stand-alone resource strength such as technological expertise.
 - D. Refers to a company's most efficiently executed value-chain activity.
 - E. Uses industry key success factors to provide a company with a core competence that rivals cannot effectively imitate.
10. What does Dog symbolize in the BCG matrix about the product life cycle?
- A. Introduction
 - B. Growth
 - C. Maturity
 - D. Decline
 - E. None of the above
11. The chief difference between a low-cost leader strategy and a focused low-cost strategy is
- A. Whether the product is strongly differentiated or weakly differentiated from rivals
 - B. The degree of bargaining power that buyers have
 - C. The size of the buyer group that a company is trying to appeal to
 - D. The production methods being used to achieve a low-cost competitive advantage
 - E. The number of upscale attributes incorporated into the product offering.
12. A joint venture is an attractive way for a company to enter a new industry when
- A. A firm is missing some essential skills or capabilities or resources and needs a partner to supply the missing expertise and competencies or fill the resource gaps.
 - B. It needs access to economies of scope and good financial fits to be cost-competitive.
 - C. It is uneconomical for the firm to achieve economies of scope on its initiative.
 - D. The firm has no prior experience with diversification.
 - E. It has not built up a hoard of cash with which to finance a diversification effort.
13. Identifying and appraising a company's resource strengths and weaknesses and its external opportunities and threats is called:
- A. Competitive asset/liability analysis
 - B. SWOT analysis

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- C. Competitive positioning analysis
 - D. Strategic resource assessment
 - E. None of the above
14. Broad differentiation strategies are well suited for market circumstances where:
- A. Most buyers have the same needs and use the product in the same ways
 - B. Buyers are susceptible to clever advertising
 - C. There are many ways to differentiate the product or service and many buyers perceive these differences as having value
 - D. Barriers to entry are high and suppliers have a low degree of bargaining power
 - E. Price competition is especially vigorous
15. Addis Ababa University seizes the security value chain activities previously performed by the university to an outside employment agency to handle the security issue. This is an example of:
- A. Outsourcing strategy
 - B. Conglomerate strategy
 - C. Concentric strategy
 - D. Integration strategy
 - E. None of the above
16. The difference between a merger and an acquisition is
- A. That a merger involves one company purchasing the assets of another company with cash, whereas an acquisition involves one company becoming the owner of another company by buying all of the shares of its common stock
 - B. That a merger is the combining of two or more companies into a single corporate entity (with the newly created company often taking on a new name) whereas an acquisition is a combination in which one company, the acquirer, purchases the operations of another, the acquired
 - C. That the brands of both companies are retained in a merger whereas with an acquisition there is only one surviving brand name
 - D. That a merger involves two or more companies deciding to adopt the same strategy whereas an acquisition involves one company becoming the owner of another company but with each company still pursuing its separate strategy

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E. None of the above

17. When an East Africa bottling share company reaches out and invests in distribution channels and retail outlets, it is said to be engaged in

- A. Forward integration
- B. Horizontal integration
- C. Backward integration
- D. Concentric integration
- E. None of the above

18. A buyer can often exercise its bargaining power over its suppliers if:

- A. It has a low switching cost to shift to other suppliers
- B. The volume it buys accounts for a smaller percentage of its suppliers' sales
- C. It has few suppliers to choose from
- D. There are many buyers in the market
- E. All of the above

19. A subsidiary of Coca-Cola company has realized that the cost of bottles it used to purchase does not comply with its standards and hence decides to establish a bottling company, the strategy it pursues is called:

- A. Forward integration
- B. Horizontal integration
- C. Backward integration
- D. Concentric integration
- E. None

20. Company X has several strategic business units. Among the strategic business units, one of them has a large market share in a rapidly growing industry. This single business unit would be classified as:

- A. A dog
- B. A star
- C. A question marks
- D. A cash cows
- E. None of the above

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21. Conglomerate diversification refers to:

- A. Adding new, but related products and services
- B. Adding new and unrelated products and services
- C. Externalizing some of its operational activities to external business partners
- D. Externalizing all of an organization's operational activities to external business partners
- E. All the above

Mrs. X was an executive with Digital Industries, a leading manufacturer of color televisions. She recognized that the color television market in the late 1970s was facing significant challenges. After two decades of highly successful development and marketing, the sales of color televisions had slowed, and replacing older color television sets largely created her market. Using this scenario answer the following question:

22. Using the logic of the BCG grid, Mrs. X should recognize that her strategic business unit was in which quadrant?

- A. Star
- B. Question Mark
- C. Cash Cow
- D. Dog
- E. None of the above

23. The strategy that the BCG matrix suggests that Mrs. X should take for this SBU is:

- A. Invest and grow
- B. Liquidate while still profitable.
- C. Ask her astrologer for advice.
- D. Keep the SBU healthy and use its excess earnings to invest in other SBU'S.
- E. Divestiture.

24. Rivalry among seller tend to be less intense when:

- A. Demand for the product is decreasing rapidly
- B. The number of competitors increases and they are fairly equal in size and competitive capability
- C. The payoff from a successful strategic move is high
- D. The product or services are strongly differentiated and customers have high switching costs
- E. All of the above

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25. The term “strategic group”:
- A. Refers to industries where rival firms all follow the same strategy
 - B. Refers to a group of rival firms with comparable market approach and competitive strategies
 - C. Refers to groups of strategies that produce about the same financial performance
 - D. Applies to situations where rival firms are forced to shift to almost identical competitive strategies
 - E. Both A and B
26. The seriousness of the competitive threat of entry is greater when:
- A. Important economies of scale are present and there are, also, big experience curve effects
 - B. Buyers have high switching costs
 - C. The industry’s capital requirements are high
 - D. Brand preferences and customer loyalty are low
 - E. All except ‘C’
27. The opportunities which are most significant to a company are the ones which:
- A. Increase market share
 - B. Can provide competitive advantage and/or significantly boost profitability
 - C. Reinforce its overall business strategy
 - D. Correct its internal weaknesses
 - E. All of the above
28. The best example of a potential company weakness is:
- A. Rising sales of substitute products
 - B. Changing buyer’s needs and tastes in the company’s target market
 - C. No clear strategic direction
 - D. Patented technology
 - E. None of the above
29. The strategy of striving to be the low-cost producer tends to be more appealing than differentiation when:
- A. There are many ways to achieve product differentiation
 - B. Customers are not price sensitive
 - C. There are many differences among buyers

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- D. The offerings of rival firms are essentially identical or standardized
- E. All of the above
30. Which one of the following is the advantage of the concentration strategy?
- A. The opportunity for managers to develop first –hand in-depth knowledge of the business, the market, customers, and major competitors
- B. Increased capacity to develop a higher-quality product
- C. A reduced need to use price cuts to build volume or market share
- D. All of the above
- E. Only A and B
31. An advantage of related diversification is that:
- A. it is less capital-intensive than unrelated diversification
- B. it is more profitable than unrelated diversification
- C. it is less risky than vertical integration because of the lower capital requirement
- D. it offers a way for a firm to exploit what it does best
- E. all of the above
32. The axes used to construct the four–cell BCG style business portfolio matrix is?
- A. Profitability and return on investment
- B. Profitability and relative market share
- C. Industry growth rate and relative market share
- D. Relative market share and industry attractiveness
- E. Industry attractiveness and stage in the industry life cycle
33. Which of the following is the best example of vertical integration?
- A. A large computer software firm acquiring a small local and regional software firm.
- B. A manufacture of soft drinks expands into the manufacturing of fruit juices.
- C. Manufacturer of personal and home computers opens up a chain of retail stores to handle the sales and services of its line of computers
- D. All of the above
- E. None of the above
34. A core competence:
- A. Refers to a company’s best-executed functional strategy

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- B. Serves as a unifying force for a company's operating strategies
 - C. Is something a firm does especially well in comparison to rival companies
 - D. All of the above
 - E. All except 'B'
35. Ethiopian Airlines used to advertise its high-quality air travel service, saying it flew "anywhere anytime." What generic strategy is represented by this advertisement?
- A. Cost leadership
 - B. Differentiation
 - C. Stuck in the middle
 - D. Focused differentiation
 - E. Both cost leadership and differentiation simultaneously
36. Which of the following is not one of the primary concerns of corporate-level strategy?
- A. The number and type of businesses a corporation owns
 - B. Strategies for increasing or decreasing the number of businesses a corporation owns
 - C. The allocation of resources across business units
 - D. Maximizing return to shareholders
 - E. None of the above
37. Which of the following has nothing to do with the sustainability of competitive advantage?
- A. Capabilities are valuable in formulating and implementing a value-creating strategy
 - B. Capabilities are possessed by a large number of current competitors
 - C. Capabilities cannot be developed by other firms except at a cost disadvantage
 - D. Capabilities do not have a strategic equivalent
 - E. None of the above
38. Beverage makers are finding that water sales are increasing, due to consumers' preferences for healthy drinks. Which part of the macro environment does this represent?
- A. Economic forces
 - B. Political forces
 - C. Technological forces
 - D. Social forces
 - E. Threat of substitute products

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39. FETIL TIBEB Company manufactures traditional clothes designed to match different events such as weddings, graduations, holidays, and others. Traditional clothes are to a high standard of design and manufacture and sold for a particular group of buyers under a prestigious label.

The strategy most probably followed by FETIL TIBEB is:

- A. Cost Leadership
- B. Differentiation strategy
- C. Focused Cost-leadership strategy
- D. Focused differentiation strategy
- E. None of the above

40. Based on the SWOT Matrix, which type of alternative is almost always defensive in nature?

- A. Strength-opportunity
- B. Strength-threat
- C. Weakness-opportunity
- D. Weakness-threat
- E. None of the above

41. Overall cost-leadership strategy requires:

- A. Tight cost control
- B. Structured organization and responsibility
- C. Frequent, detailed control report
- D. All of the above
- E. None of the above

42. The marketing strategy emphasizes price as the key to good value; Production focuses on tight cost control; research and development focus on inventing cost reduction techniques. Which of the business-level strategies is illustrated here?

- A. Differentiation
- B. Stability
- C. Growth
- D. Cost Leadership
- E. None of the above

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43. Which of the following is incorrect regarding how a cost leadership strategy can help a firm to improve its competitive position against the five competitive forces of an industry?
- A. A firm will Make rivals hesitate to compete based on price
 - B. A firm can frighten off potential new entrants due to their need to enter on a large scale to cost competitive
 - C. A firm can mitigate suppliers' power by being able to absorb cost increases due to a low-cost position
 - D. A firm will enjoy high customer loyalty, thus experiencing less threat from substitutes than its competitors
 - E. None of the above
44. The top management of XYZ Company decided to sell two of its poor-performing business units and use the money to subsidize and maintain the remaining three business units. The scenario described best relates to:
- A. Growth strategies
 - B. Defensive strategy
 - C. Stability strategy
 - D. Differentiation strategy
 - E. None of the above
45. Assume, Century Mall recently launched a cinema equipped with Dolby Atmos Speakers, which is not found in the other cinemas in Ethiopia. In the context of resources and capabilities, the situation most likely satisfies the criteria:
- A. Valuable
 - B. Rare
 - C. Costly to imitate
 - D. Non-substitutability
 - E. None of the above
46. Assume you work for Ghion Transport Company and your recent analysis indicated that if customers want to travel from Addis Ababa to Hawassa using special buses, there are many options available in the market, they can check prices of different bus companies fast over the phone and there aren't any switching costs involved in the process. Based on your analysis:

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- A. The bargaining power of suppliers is strong
 - B. The threat from new entrants is weak
 - C. The threat from substitute products is weak
 - D. The bargaining power of buyers is strong
 - E. None of the above
47. One of the findings by XYZ company on the industry concluded that the growth of the industry will likely slow down significantly in the coming years. This situation most likely leads to:
- A. Increased power of suppliers
 - B. Increased power of buyers
 - C. Increased threat from new entrants
 - D. Intense rivalry among competing firms
 - E. Strong threat from substitute products
48. The Ethiopian government already launched a tender process to partially privatize Ethio Telecom. Along with the privatization, liberalization of the industry by the government is also expected in the future. Based on the Five Forces Model, the situation most likely leads to:
- A. Decrease in the barriers to entry into the Ethiopian telecom sector.
 - B. Increased power of suppliers.
 - C. Decrease in the number of suppliers.
 - D. Removal of rivalry among existing firms.
 - E. None of the above
49. Company “A” was a supplier of Company “B.” But currently, Company “A” is entering the local market as a direct competitor of Company “B.” Company “A” would be considered which force of Porter?
- A. Threat of substitutes
 - B. Bargaining power of suppliers
 - C. Bargaining power of customers
 - D. Threat of new entrants
 - E. Rivalry among seller

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50. When a firm can make products that are unique and better than the ones provided by the competitors, it is said to have:

- A. Competitive advantage
- B. Comparative advantage
- C. Opportunity cost
- D. Stability strategy
- E. An external opportunity

Project Management

Identify the correct answer and select the answer of your choice. There is only one best answer.

1. Which one of the following **CANNOT** describe a project?

- A. A project is a complex set of activities where resources are used in expectation of returns.
- B. A project has boundaries that make it to be distinguishable from another project.
- C. A project normally has a specific geographical location with identifiable targets and beneficiaries.
- D. A project does not have a specific group of benefits because it is difficult to identify, quantify and value either socially or monetarily.

2. One can describe a project based on the following characteristics, **except**:

- A. A project is an exception
- B. A project has Unique Activities
- C. Project goals and deadlines are not specific
- D. The desired result is identified

3. Connected activities or interdependencies of project activities means:

- A. Connectedness implies that there is a logical or technical relationship between pairs of activities.
- B. A project consists of a number of interrelated activities that are performed non-sequentially.
- C. There is no order to the sequence in which the activities that make up the project must be completed.

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D. They are considered connected because the output from one activity of project “A” is the input to the activity of project “B”.

4. Updating projects involves repeating or extending an existing economic activity with the same output, technology, and organization.

A. True

B. False

5. New investments are designed to establish a new productive process independent of previous lines of production.

A. True

B. False

6. Expansion projects involve replacing or changing some elements in an existing activity without a major change of output.

A. True

B. False

7. Which of these is not one of the constraints of a project?

A. Scope

B. Resources

C. Team

D. Budget

8. Which of the following is not a project management goal?

A. Avoiding customer complaints

B. Keeping overall costs within budget

C. Delivering the software to the customer at the agreed time

D. Maintaining a happy and well-functioning development team

9. What is the first step in project planning?

A. Determine the budget

B. Determine project constraints

C. Inspect the deliverables

D. Establish the objectives and scope

10. A project is anything which is

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- A. Not implicitly expressed
 - B. Not a physical objective
 - C. Implicitly expressed
 - D. Social acceptability
11. Project managers have to assess the risks that may affect a project
- A. True
 - B. False
12. Cultural implications of the project are examined by
- A. Cultural feasibility
 - B. Economic feasibility
 - C. Technical feasibility
 - D. Marketing feasibility
13. Identify the incorrect statement in the characterization of the market
- A. Price structure of manufacturers, whole-sellers, and retailers may be examined
 - B. Breaking up the aggregate demand gives deeper insights into market segments
 - C. Segmental information is helpful because the nature of demand tends to be the same from one segment to another.
 - D. Customers may be characterized socio-demographically and attitudinally
14. Which one of the following best describes a project stakeholder?
- A. A party who is concerned about the project going ahead.
 - B. A party with an interest or role in the project or is impacted by the project.
 - C. A party who has a vested interest in the outcome of the project.
 - D. A party who has a financial stake in the organization managing the project.
15. Which one of the following statements is true?
- A. An increase in project scope is likely to increase the project cost.
 - B. A decrease in the project time is likely to increase project quality.
 - C. An increase in the project quality requirements is likely to decrease project costs.
 - D. A decrease in the project cost is likely to decrease project time
16. Which of the following is most incorrect about Time Series Analysis/method of demand forecasting?

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- A. It is based on the idea that data relating to past demand can be used to predict future demand.
 - B. The data in the analysis may include several components, such as trend, or seasonal influences
 - C. It includes cause and effect relationship
 - D. It assumes the future will follow the same patterns as the past
17. A project manager should keep an eye on which one of the following for its effectiveness?
- A. Scope and Quality
 - B. Cost/ budget
 - C. Time and resource
 - D. All of the above parameters are required to be managed.
18. Which one of the following is **NOT** an example of a project?
- A. Organizing an event, like a wedding or a party
 - B. Baking a wedding cake
 - C. Shelving books at the library
 - D. Building an extension on a house
19. The main aim of a project risk management process should be to:
- A. identify project risks and then manage them appropriately.
 - B. identify all project risks and transfer them immediately.
 - C. identify all the things that are threats or opportunities on a project.
 - D. satisfy the organization's project management process.
20. One of the reasons a project life cycle is split into phases is to:
- A. facilitate formal go/no-go decision-making during the project.
 - B. balance the costs of work in each phase of project development.
 - C. mirror the major deployments of resources throughout the project.
 - D. chunk work into time periods of similar durations.
21. Which of the following best describes a project environment?
- A. The type of organization concerned with implementation.
 - B. The structured method used to control the project.
 - C. The context within which a project is undertaken.
 - D. An understanding of the risks involved in the project.
22. Which one of the following is **NOT** a possible cause of project failure?

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- A. The project plan incorporates detail with respect to all the management functions and tools.
 - B. Only the project team is interested in the end result.
 - C. The project team is not communicating.
 - D. The project plan lacks structure.
23. Project management refers to the following, **except**:
- A. Developing a project proposal for approval purposes.
 - B. Establishing clear and achievable objectives
 - C. Balancing the competing demands for quality, scope, resources, time, and cost
 - D. Adapting the specification, plans, and approach to the different concerns and expectations of the various stakeholders.
24. Which one of the following is a **micro** source of the project idea?
- A. National policies, strategies, sectoral, sub – sectoral or regional plans
 - B. The identification of unsatisfied demands or needs
 - C. General surveys like resource potential surveys, regional studies, and statistical publications, indicate direct or indirectly investment opportunities.
 - D. Constraints on the development process due to shortage of essential infrastructure facilities.
25. Which one of the following is a **macro** source of the project idea?
- A. The need to remove shortages in essential materials, services or facilities that constrain development efforts;
 - B. Constraints on the development process due to shortage of essential infrastructure facilities.
 - C. The initiative of private or public enterprises in response to incentives provided by the government;
 - D. The necessity to complement or expand investments previously undertaken;
26. Which one of the following is false about financial analysis?
- A. Basic question : Can we earn satisfactory return for investment in a project
 - B. Involve estimates of investment costs, means of finance, sales & operating costs
 - C. Evaluate a project based on appropriated decision criteria
 - D. None

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27. Assume the initial investment of a given project is Br 25,000 and the annual cash inflow for this project is Br3,000 per year for ten years. If the cost of the project is 10%, What would be the NPV of this project?
- A. Br3,689
B.-Br5,969.36
C. Br2, 858
D. None
28. Given all the data in question 27, what would the benefit-cost ratio of the project?
- A.1.82
B. 2.13
C.0.76
D. None
29. Using the same data as in question 27, what is the payback (non- discounted) period of the project?
- A.8.33
B. 6.53
C.7.45
D. None
30. All of the followings statements are true about the cost of capital of a project, except:-
- A. Used as a discount rate in discounting project cash flows
B. It can be used as the benchmark for project evaluation
C. It represents the weighted average cost of source of financing of a project
D. None

Operations Management

1. At HR Café, tasks that reflect operations or operations management include:
- A) designing efficient layouts.
B) providing meals.
C) receiving ingredients.
D) preparing effective employee schedules.

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- E) all of the above.
2. An operations task performed at Hard Rock Café is:
- A) borrowing funds to build a new restaurant.
 - B) advertising changes in the restaurant menu.
 - C) calculating restaurant profit and loss.
 - D) preparing employee schedules.
 - E) all of the above.
3. Operations management is applicable:
- A) mostly to the service sector.
 - B) to services exclusively.
 - C) mostly to the manufacturing sector.
 - D) to all firms, whether manufacturing or service.
 - E) to the manufacturing sector exclusively.
4. Which of the following are the primary functions of all organizations?
- A) production/operations, marketing, and human resources
 - B) marketing, human resources, and finance/accounting
 - C) sales, quality control, and production/operations
 - D) marketing, production/operations, and finance/accounting
 - E) research and development, finance/accounting, and purchasing
5. Which of the following would NOT be an operations function in a commercial bank?
- A) auditing
 - B) teller scheduling
 - C) maintenance
 - D) collection
 - E) check clearing
6. Which of the following tasks within an airline company are related to operations?
- A) crew scheduling
 - B) international monetary exchange
 - C) sales
 - D) advertising

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E) accounts payable

7. Which of the following is LEAST likely to be a low-cost leadership competitive advantage?

A) low overhead

B) effective capacity use

C) inventory management

D) broad product line

E) mass production

8. A firm can effectively use its operations function to yield competitive advantage through all of the following EXCEPT:

A) customization of the product.

B) setting equipment utilization goals below the industry average.

C) speed of delivery.

D) constant innovation of new products.

E) maintaining a variety of product options.

9. The ability of an organization to produce goods or services that have some uniqueness in their characteristics is:

A) mass production.

B) time-based competition.

C) competing on productivity.

D) competing on quality.

E) competing on differentiation.

10. Which of the following statements best characterizes delivery reliability?

A) a company that always delivers on the same day of the week

B) a company that always delivers at the promised time

C) a company that delivers more frequently than its competitors

D) a company that delivers faster than its competitors

E) a company that has a computerized delivery scheduling system

11. Which of the following is an example of competing based on differentiation?

A) A firm manufactures its product with less raw material waste than its competitors do.

B) A firm's products are introduced into the market faster than its competitors' products are.

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- C) A firm's distribution network routinely delivers its product on time.
- D) A firm offers more reliable products than its competitors do.
- E) A firm advertises more than its competitors do.
12. Which of the following is the best example of competing on low-cost leadership?
- A) A firm produces its product with less raw material waste than its competitors do.
- B) A firm offers more reliable products than its competitors do.
- C) A firm's products are introduced into the market faster than its competitors' products are.
- D) A firm's research and development department generates many ideas for new products.
- E) A firm advertises more than its competitors do.
13. Which of the following is an example of competing on quick response?
- A) A firm produces its product with less raw material waste than its competitors do.
- B) A firm offers more reliable products than its competitors do.
- C) A firm's products are introduced into the market faster than its competitors' products.
- D) A firm utilizes its capacity more effectively than its competitors do.
- E) A firm advertises more than its competitors do.
14. Which of the following is not part of value-chain analysis?
- A) product research
- B) quality management
- C) supply chain management
- D) marketing
- E) human resources
15. Standardization is an appropriate strategy in which stage of the product life cycle?
- A) introduction
- B) growth
- C) maturity
- D) decline
- E) retirement
16. Cost minimization is an appropriate strategy in which stage of the product life cycle?
- A) introduction
- B) growth

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C) adolescence

D) decline

E) retirement

17. An SWOT analysis determines:

A) internal strengths and weaknesses and internal opportunities and threats.

B) internal strengths and weaknesses and external opportunities and threats.

C) external strengths and weaknesses and internal opportunities and threats.

D) external strengths and weaknesses and external opportunities and threats.

E) internal strengths and opportunities and external weaknesses and threats.

18. Outsourcing is simply an extension of the long-standing practice of:

A) subcontracting.

B) importing.

C) exporting.

D) postponement.

E) e-procurement.

19. What theory implies that you should allow another firm to perform work activities for your company if that company can do it more productively than you can?

A) theory of competitive advantage

B) theory of core competencies

C) theory of comparative advantage

D) theory of outsourcing

E) theory of offshoring

20. Which of the following is not an advantage of outsourcing?

A) cost savings

B) gaining outside expertise

C) improving operations and service

D) outsourcing core competencies

E) accessing outside technology

21. In which stage of the product life cycle should product strategy focus on process modifications as the product is being "fine-tuned" for the market?

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A) introduction

B) growth

C) maturity

D) decline

E) incubation

22. A product's life cycle is divided into four stages, which are:

A) introduction, growth, saturation, and maturity.

B) introduction, growth, stability, and decline.

C) introduction, maturity, saturation, and decline.

D) introduction, growth, maturity, and decline.

E) incubation, growth, maturity, and decline.

23. The analysis tool that lists products in descending order of their dollar contribution to the firm is:

A) decision tree analysis.

B) Pareto analysis.

C) breakeven analysis.

D) product-by-value analysis.

E) product life cycle analysis.

24. At which stage of the product life cycle is product strategy likely to focus on improved cost control?

A) introduction

B) growth

C) maturity

D) saturation

E) inflation

25. Which of the following is true regarding value engineering?

A) Value engineering occurs only after the product is selected and designed.

B) Value engineering creates fragile design.

C) Value engineering is oriented toward the improvement of design.

D) Value engineering occurs during production when it is clear the product is a success.

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- E) Value engineering can save substantial amounts of the product cost, but quality suffers.
26. Reducing the complexity of a product and improving a product's maintainability are activities of:
- A) product lifecycle management (PLM).
 - B) product-by-value analysis.
 - C) manufacturability and value engineering.
 - D) organizing for product development.
 - E) design for destruction (DFD).
27. Quality function deployment (QFD):
- A) determines what will satisfy the customer.
 - B) translates customer desires into the target design.
 - C) is used early in the design process.
 - D) is used to determine where to deploy quality efforts.
 - E) all of the above
28. A graphic technique for defining the relationship between customer desires and product (or service) is:
- A) product lifecycle management.
 - B) the house of quality.
 - C) the moment of truth.
 - D) the assembly drawing.
 - E) modular design.
29. A result of concurrent engineering in product design is:
- A) speedier product development.
 - B) lower quality.
 - C) less customer demand.
 - D) higher costs.
 - E) all of the above.
30. Manufacturability and value engineering have which of the following benefits?
- I. Reduced complexity of the product

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II. Reduction of environmental impact

III. Additional standardization of components

IV. Robust design

V. Improved job design and safety

A) I, III, V

B) II, IV

C) I, III, IV

D) IV

E) I, II, III, IV, V

31. Which of the following is TRUE regarding computer-aided design?

A) It is too expensive to use in most manufacturing and design settings.

B) It is an obsolete technology.

C) It results in longer development cycles for virtually all products.

D) It is the use of computers to interactively design products and prepare engineering documentation.

E) It is the use of information technology to control machinery.

32. An engineering drawing shows the:

A) dimensions, tolerances, materials, and finishes of a component.

B) dimensions, tolerances, cost, and sales or use volume of a component.

C) materials, finishes, machining operations, and dimensions of a component.

D) cost, materials, tolerances, and lead-time for a component.

E) cost, dimensions, and machining operations for a component.

33. Which of the following typically shows the hierarchy of components, their description, and the quantity of each required to make one unit of a product?

A) an engineering drawing

B) an assembly drawing

C) a bill of material

D) an assembly chart

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E) a route sheet

34. A route sheet provides a(n):

A) exploded view of the product.

B) instruction to make a given quantity of a particular item.

C) schematic showing how the product is assembled.

D) sequence of operations necessary to produce the component.

E) set of detailed instructions about how to perform a task.

35. Which of the following documents lists the operations necessary to produce the component with the material specified in the bill of material?

A) an engineering drawing

B) an assembly drawing

C) a route sheet

D) an assembly chart

E) an operations chart

36. A restaurant kitchen contains a wall poster that shows, for each sandwich on the menu, a sketch of the ingredients and how they are arranged to make the sandwich. This is an example of a(n):

A) assembly drawing.

B) route sheet.

C) bill of material.

D) work order.

E) assembly chart.

37. A document for production that instructs to make a given quantity of a particular item, usually to a given schedule, is a(n):

A) work order.

B) route sheet.

C) bill of information.

D) assembly chart.

E) value analysis.

38. A product-focused process is commonly used to produce

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- A) high-volume, high-variety products
 - B) low-volume, high-variety products
 - C) high-volume, low-variety products
 - D) low-variety products at either high- or low-volume
 - E) high-volume products of either high- or low-variety
39. Which of the following transformations generally has the highest equipment utilization?
- A) process-focused process
 - B) repetitive process
 - C) product-focused process
 - D) specialized process
 - E) modular process
40. An assembly line is an example of a
- A) product-focused process
 - B) process-focused process
 - C) repetitive process
 - D) line process
 - E) specialized process
41. The Academic Computing Center has five trainers available in its computer labs to provide training sessions to students. Assume that the design capacity of the system is 1900 students per semester and that effective capacity equals 90% of design capacity. If the number of students who got their orientation session is 1500, what is the efficiency of the system?
- A) 1350 students
 - B) 1710 students
 - C) 78.9%
 - D) 87.7%
 - E) 90%
42. A work system has five stations that have process times of 5, 9, 4, 9, and 8. What is the processing time of the system?
- A) 4
 - B) 9

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- C) 18
D) 35
E) none of the above
43. Industrial location analysis typically attempts to
- A) minimize costs
B) maximize sales
C) focus more on human resources
D) avoid countries with strict environmental regulations
E) ignore exchange rates and currency risks
44. Which of the following is usually not one of the top considerations in choosing a country for a facility location?
- A) availability of labor and labor productivity
B) exchange rates
C) attitude of governmental units
D) zoning regulations
E) location of markets
45. A good layout requires determining
- A) material handling requirements
B) capacity and space requirements
C) environment and aesthetics
D) cost of moving between various work areas
E) all of the above
46. Quality "lies in the eyes of the beholder" is
- A) an unrealistic definition of quality
B) a user-based definition of quality
C) a manufacturing-based definition of quality
D) a product-based definition of quality
E) the definition proposed by the American Society for Quality
47. "Making it right the first time" is
- A) an unrealistic definition of quality

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- B) a user-based definition of quality
 - C) a manufacturing-based definition of quality
 - D) a product-based definition of quality
 - E) the definition proposed by the American Society for Quality
48. Which of the four major categories of quality costs is particularly hard to quantify?
- A) prevention costs
 - B) appraisal costs
 - C) internal failure costs
 - D) external failure costs
 - E) None is hard to quantify.
49. Based on his 14 Points, Deming is a strong proponent of
- A) inspection at the end of the production process
 - B) an increase in numerical quotas to boost productivity
 - C) looking for the cheapest supplier
 - D) training and knowledge
 - E) all of the above
50. PDCA is most often applied regarding which aspect of TQM?
- A) Six Sigma
 - B) Employee Empowerment
 - C) Continuous Improvement
 - D) Benchmarking
 - E) JIT
51. If 1 million passengers pass through an Airport with checked baggage each month, a successful Six Sigma program for baggage handling would result in how many passengers with misplaced luggage?
- A) 3.4
 - B) 6.0
 - C) 34
 - D) 2700
 - E) 6 times the monthly standard deviation of passengers

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52. "Kaizen" is a Japanese term meaning
- A) a foolproof mechanism
 - B) just-in-time (JIT)
 - C) a fishbone diagram
 - D) setting standards
 - E) continuous improvement
53. Under which of the following do planning tasks associated with job assignments, ordering, job scheduling, and dispatching typically fall?
- A) short-range plans
 - B) intermediate-range plans
 - C) long-range plans
 - D) mission-related planning
 - E) strategic planning
54. Under which of the following do planning tasks associated with production planning and budgeting, as well as setting employment, inventory, and subcontracting levels, typically fall?
- A) short-range plans
 - B) intermediate-range plans
 - C) long-range plans
 - D) demand options
 - E) strategic planning
55. Which of the following is the term used for intermediate-range capacity planning with a time horizon of three to eighteen months?
- A) material requirements planning
 - B) enterprise resource planning
 - C) strategic planning
 - D) aggregate planning
 - E) job scheduling
56. An aggregate plan satisfies forecast demand by potentially adjusting all EXCEPT which of the following?
- A) production rates

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- B) labor levels
 - C) inventory levels
 - D) overtime work
 - E) facility capacity
57. Dependence on an external source of supply is found in which of the following aggregate planning strategies?
- A) varying production rates through overtime or idle time
 - B) subcontracting
 - C) using part-time workers
 - D) back ordering during high-demand periods
 - E) hiring and laying off
58. The short-term scheduling activity called "loading":
- A) assigns dates to specific jobs or operations steps.
 - B) specifies the order in which jobs should be done at each center.
 - C) assigns jobs to work centers
 - D) assigns workers to jobs.
 - E) assigns workers to machines.
59. Which of the following is an aid used to monitor jobs in progress?
- A) a Gantt load chart
 - B) the assignment method
 - C) a Gantt schedule chart
 - D) Johnson's rule
 - E) a Gantt progress chart
60. Forward scheduling is the scheduling of:
- A) the end items or finished products.
 - B) jobs as soon as the requirements are known.
 - C) the start items or parts.
 - D) the final operation first beginning with the due date.
 - E) jobs according to their profit contributions.

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Financial Management

Choose the best answer from the given alternatives

1. Which of the following ratios measures the ability of the business firm to pay its current liabilities and current portion of long-term debts as they mature?
 - A. Activity ratio
 - B. Profitability ratio
 - C. Liquidity ratio
 - D. Market ratio
2. Company J and Company K each recently reported the same EPS. Company J's stock, however, trades at a higher price. Which of the following statements is most correct?
 - A. Company J must have a higher P/E ratio.
 - B. Company J must have a higher market-to-book ratio.
 - C. Company J must be riskier.
 - D. Company J must have fewer growth opportunities.
3. Which of the following statements is most correct?
 - A. Using cash to purchase inventories will reduce a company's quick ratio.
 - B. Using cash to purchase inventories will reduce the quick ratio and current ratio.
 - C. Using cash to purchase inventories will increase the quick ratio and current ratio.
 - D. Using cash to purchase inventories will increase a company's quick ratio.
4. A company increases its debt ratio, but leaves its operating income (EBIT) and total assets unchanged, which of the following may occur?
 - A. The company's net income will rise.
 - B. The company's liability will increase.
 - C. The company's basic earning power will fall.
 - D. The company's equity will increase.
5. ABC Corporation has 100,000 shares of common stock outstanding. The company's net income is \$750,000 and its P/E ratio is 8. What is the company's stock price?
 - A. \$20.00
 - B. \$30.00

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- C. \$60.00
D. \$50.00
6. ABC Inc. has earnings after interest but before taxes of \$300. The company's before-tax times-interest-earned ratio is 7.00. The company's interest charges will be
- A. \$42.86
B. \$50.00
C. \$40.00
D. \$60.00
7. Determine a firm's total asset turnover (TAT) if its net profit margin (NPM) is 5 percent, total assets are birr 8 million, and ROI is 8 percent.
- A. 1.60
B. 2.05
C. 2.50
D. 4.00
8. The gross profit margin is unchanged, but the net profit margin declined over the same period. This could have happened if
- A. CGS increased relative to sales.
B. Sales increased relative to expenses.
C. The tax rate increased.
D. Dividends decreased
9. Quick asset does not include _____.
- A. Marketable securities.
B. Cash.
C. Receivables
D. Inventories.
10. Current ratio is 1, the difference between current assets and current liabilities will be
- A. Positive.
B. Zero
C. Negative.
D. Undecided

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11. Which of the following statements is wrong?
- A. Financial management is studied under the assumption that there is a capital market and capital exchange in the business environment.
 - B. Financial management is studied in the context of a corporate form of business organization.
 - C. Corporations raise capital in financial markets by buying securities.
 - D. A successful study of financial management requires the need for a conceptual framework.
12. A capital market is a market in which the values of all assets and securities at any instant in time fully reflect all available public information. This description may refer
- A. Efficient capital markets
 - B. The Agency problem
 - C. The curse of competitive markets
 - D. The time value of money
13. For a healthy business the current ratio lies between
- A. 0 to 1.5
 - B. 1.5 to 3
 - C. 3 to 4.5
 - D. 4.5 to 6
14. Inventory turnover measures the relationship of inventory with:
- A. Average inventory
 - B. Cost of Goods Sold
 - C. Total Purchases
 - D. Total Assets
15. In Net Profit Ratio, the denominator is:
- A. Net Sales
 - B. Total asset
 - C. Credit Sales
 - D. Cost of goods sold
16. In quick ratio, quick assets are compared with:
- A. Quick liabilities
 - B. Current Liabilities

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C. Fixed Assets

D. CGS

17. Debt to total assets ratio can decrease by

A. Repaying a debt

B. Borrowing more

C. Issuing bonds or debentures

D. Issuing equity shares

18. During the year the business distributed a dividend of \$60,000 with retained earnings of double of the dividend. The net income reported by the business for the year was

A. \$120,000.

B. \$150,000.

C. \$180,000.

D. \$165,000.

19. Other things are constant, which of the following will not affect the quick ratio?

A. Fixed assets are sold for cash.

B. Cash is used to purchase inventories.

C. Cash is used to pay the long-term debt.

D. Accounts receivable are collected.

20. XYZ Ltd. has earned an 8% Return on Total Assets of 5,000,000 birr and has a Net Profit Ratio of 5%. Find out the Sales of the firm.

A. 400,000 birr

B. 250,000 birr

C. 8,000,000 birr

D. 83,33,333 birr

